



CONSUMERS, ESPECIALLY THE

middle class and salaried, have rarely had it so good. For long, they have complained of rising inflation and high taxes and equated monthly instalments (EMIs) eating into their disposable incomes and sought relief from the government. This was mirrored in sluggish growth in consumption demand, the biggest driver of India's gross domestic product (GDP), over the last few years.

Over the past six months, the government has made a concerted effort to turn things around. It began with the FY26 Union Budget, which announced income tax cuts for individuals, followed by 100 basis points of repo rate cuts by the Reserve Bank of India's (RBI's) Monetary Policy Committee, making loans cheaper. It cut rates by 25 basis points each on February 7 and April 9 this year, followed by a 50 basis point cut on June 6, taking the repo rate from 6.5% to 5.5%.

The pass through of the reduction to customers has been strong, especially in fresh loans.

Topping those decisions, Prime Minister Narendra Modi announced next-generation reforms in the goods and services tax (GST) from the ramparts of the Red Fort in his Independence Day speech on August 15. Three weeks later, the GST Council approved the rationalisation of the five-rate structure, pruning it to two primary rates of 5% and 18% with a higher 40% rate for ultra luxury and sin goods.

From daily use household items like *paneer*, ghee, shampoo and toilet soaps to consumer durables like TVs, air conditioners and dishwashers as well as passenger cars, two-wheelers and insurance premia, the council has slashed rates across products.

The changed rates, coming into force on September 22, at the peak of the festive season when demand

typically spikes, are expected to add to the demand stimulus announced earlier. It's a nudge, nay, an all-out push to buy and consume more!

This push has been prompted by the challenging set of circumstances the Indian economy confronts, especially the uncertain global environment and the recent 50% punitive tariffs imposed by the US on Indian exports.

While the Centre has for long preferred to focus on capital expenditure (capex), considering its multiplier effect in creating more jobs and demand, analysts say this time the government has left nothing to chance and focussed on consumption as well. They believe the tax changes could add as much as 0.6% to the GDP with various estimates suggesting it could boost private demand by ₹1 lakh crore, or even ₹2 lakh crore in a full year, as a host of items become more affordable.

Sacchidananda Mukherjee, Professor at Delhi-based think tank National Institute of Public Finance and Policy (NIPFP), says there seem to be two drivers behind Prime Minister Modi's GST move. "The first is the political economy, given that states such as Bihar are set to go for elections. The other is the economic requirement given that the external sector is not doing well," he says, adding the economy needs greater demand to grow at a 6.5%-plus rate on a consistent basis.

The cuts are a way to bring retail prices down and create demand, which will in turn lead to more investments and growth, making the rate rationalisation akin to a stimulus package, Mukherjee says.

Private final consumption